

KLD indexes. While Norway has thrown Wal-Mart out, Wal-Mart gets high KLD ratings partly because it has taken many steps to reduce its carbon footprint. On the other hand, Geczy, Stambaugh, and Levin (2004) find that SRI mutual funds underperform their peers by thirty basis points per month. Harrison Hong, a Princeton academic and one of the leading scholars on SRI, shows in Hong and Kacperczyk (2009) that “sin” stocks like tobacco, firearms manufacturers, and gambling have higher risk-adjusted returns than comparable stocks.⁴⁰

In his magnum opus written in 1936, Keynes says, “There is no clear evidence that the investment policy which is socially advantageous coincides with that which is most profitable.” My reading of the SRI literature is that Keynes’s remarks are equally applicable today.

I believe there is some scope for SRI in active management. There are some characteristics of firms that predict returns. Some of these effects are so pervasive that they are factors, as I discuss in chapter 7. Many of the firms that rank highly on SRI measures are likely to be more transparent, have good governance, senior managers who are less likely to steal, efficient inventory management, use few accounting gimmicks, and respond well to shareholder initiatives. These are all characteristics that we know are linked to firm performance. A simple example: limiting the rents managers can extract from shareholders allows shareholders to take home more. Gompers, Ishii, and Metrick (2003) create a governance index to rank companies from “dictatorships” to “republics.” Companies that have many provisions to entrench management, anti-takeover provisions, and limit proxy votes, for example, would be defined as dictatorships. They find that republics—which are also likely to rank high on SRI criteria—have higher returns than dictatorships.⁴¹

If you are able to pick firms based on particular properties and characteristics and these are related to SRI, then you might be able to outperform. This method of SRI does not throw out companies; it actively selects companies on SRI criteria but does not limit the manager’s investment opportunities by excluding companies.⁴² Like all active strategies, it is hard to beat factor-based strategies (see chapter 14).

⁴⁰ Hong, Kubik, and Scheinkman (2012) argue against the hypothesis of “doing well by doing good” and argue exactly the opposite. They show that corporate social responsibility is costly for firms and firms only do good when they are not financially constrained. In this sense, corporate social responsibility is costly for firms.

⁴¹ There is debate about whether this effect has persisted after the original Gompers, Ishii, and Metrick (2003) study and whether the effect is about risk or mispricing (see chapter 7). Cremers and Ferrell (2012) find stocks with weak shareholder rights have negative excess returns from 1978 to 2007 while Bebchuk, Cohen, and Wang (2013) argue the original Gompers, Ishii, and Metrick results disappear in the 2000s.

⁴² A more aggressive form of doing this is shareholder activism. Shareholder activism by hedge funds adds significant value (see Brav et al. (2008)) even though the evidence for mutual funds and pension funds adding value for shareholders is decidedly mixed (see Gillan and Starks (2007)). Dimson, Karakas, and Li (2012) find that corporate social responsibility activist engagements generate excess returns.